ORGANIZATIONAL BEHAVIOR

PART FOUR

THE ORGANIZATION SYSTEM

chapter 15

Foundations of Organization Structure

LEARNING OBJECTIVES

After studying chapter 15 and listening to class lecture,you should be able to:

1. Identify the six key elements that define an organization's structure.
2. Explain the characteristics of a bureaucracy.
3. Describe a matrix organization.
4. Explain the characteristics of a virtual organization.
5. Summarize why managers want to create boundaryless organizations.
6. Contrast mechanistic and organic structural models.
7. List the factors that favor different organizational structures.
8. Why do structures differ?

What Is Organizational Structure?

organizational structure

How job tasks are formally divided, grouped, and coordinated.

Key Elements:

- **Work specialization**
- **Departmentalization**
- **Chain of command**
- **Span of control**
- **Centralization and decentralization**
- **Formalization**

What Determines Organizational Structure?

- **To what degree are tasks subdivided into separate jobs?**
- **On what basis will jobs be grouped together?**
- **To whom do individuals and groups report?**
- **How many individuals can a manager efficiently and effectively direct?**
- **Where does decision-making authority lie?**
- **To what degree will there be rules and regulations to direct employees and managers?**

Key Design Questions and Answers for Designing the Proper Organization Structure

The Key Question	The Answer Is Provided By
1. To what degree are tasks subdivided into separate jobs?	Work specialization
2. On what basis will jobs be grouped together?	Departmentalization
3. To whom do individuals and groups report?	Chain of command
4. How many individuals can a manager efficiently and effectively direct?	Span of control
5. Where does decision-making authority lie?	Centralization and decentralization
6. To what degree will there be rules and regulations to direct employees and managers?	Formalization

Why Do Structures Differ?

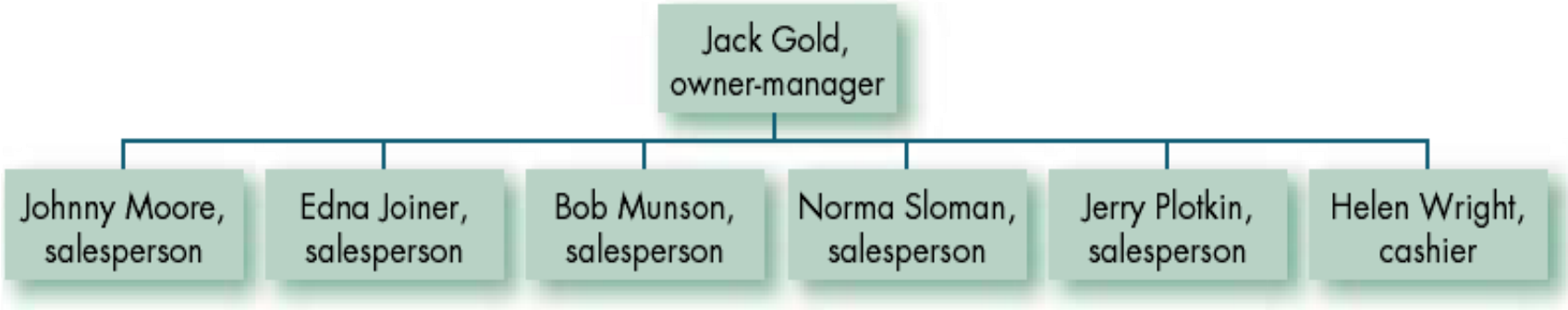
- Strategy
- Organization Size
- Technology
- Environment

Common Organization Designs

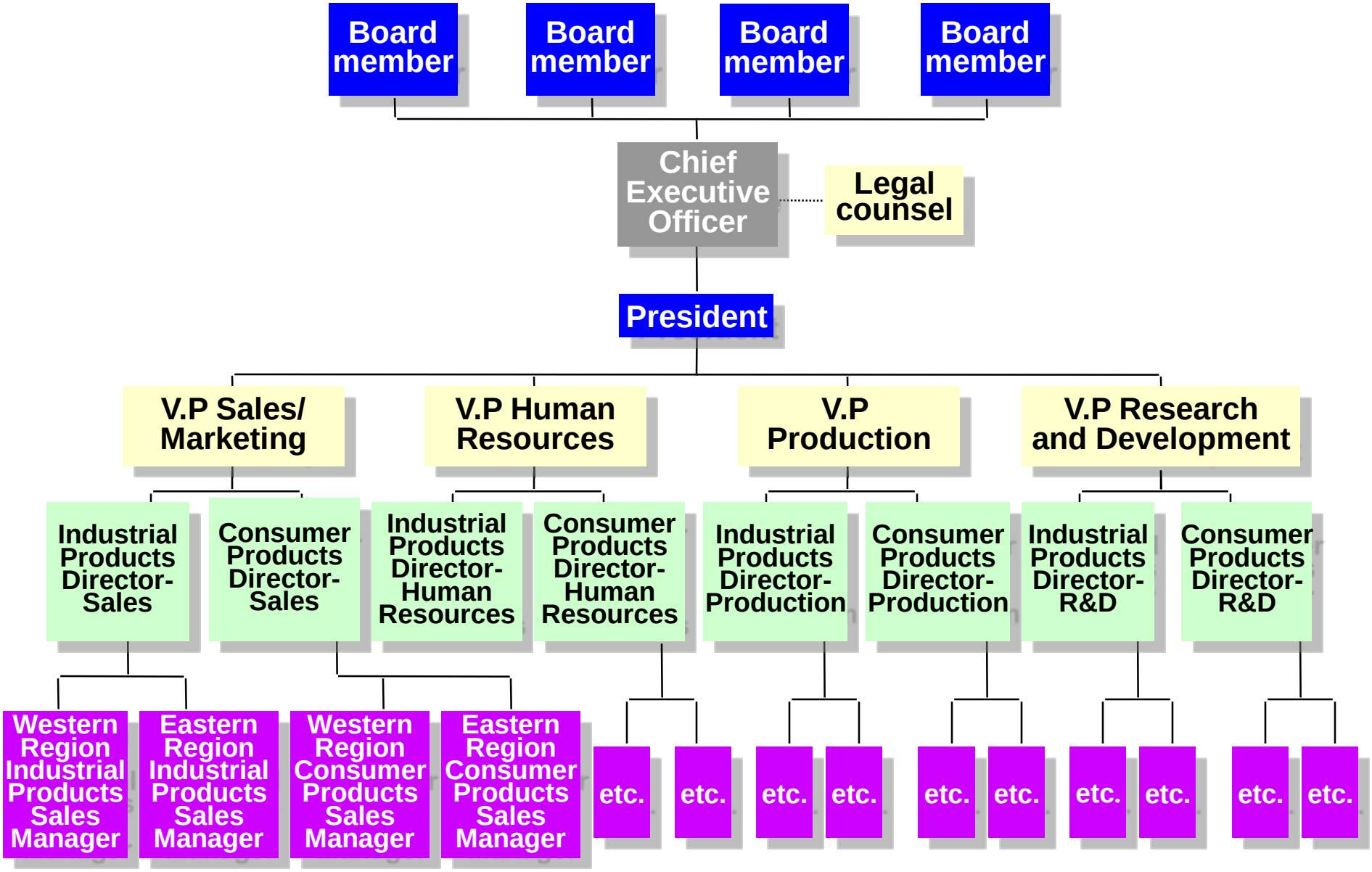
simple structure

A structure characterized by a low degree of departmentalization, wide spans of control, authority centralized in a single person, and little formalization.

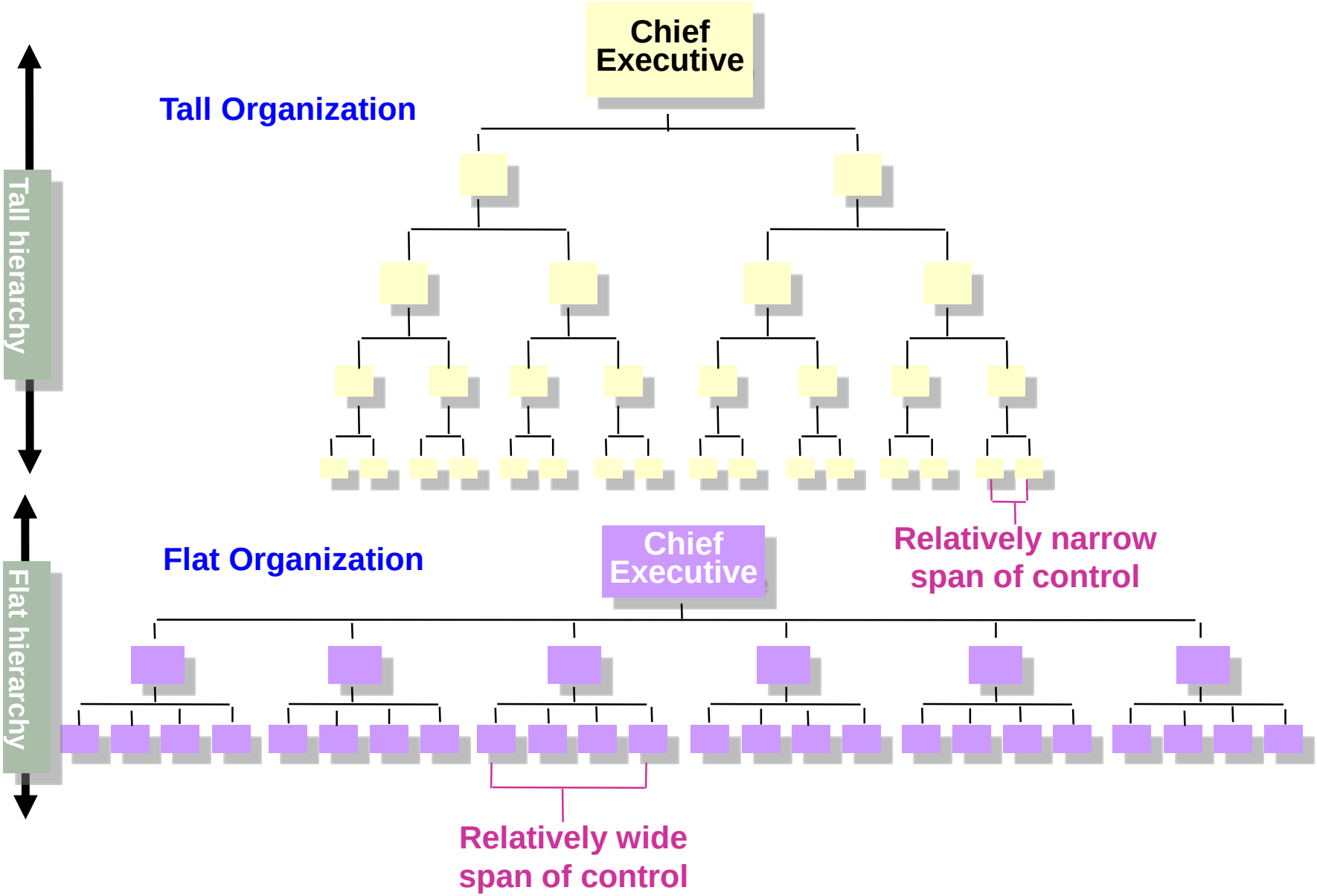
A Simple Structure:
Jack Gold's Men's Store



Organizational Chart of a Manufacturing Firm



Tall versus Flat Organizations



Comparison of Use Cases

Feature	Tall Organization	Flat Organization
Best For	Large, stable companies	Small or innovative firms
Decision Speed	Slower	Faster
Employee Autonomy	Lower	Higher
Examples	GE, IBM	Tesla, Spotify

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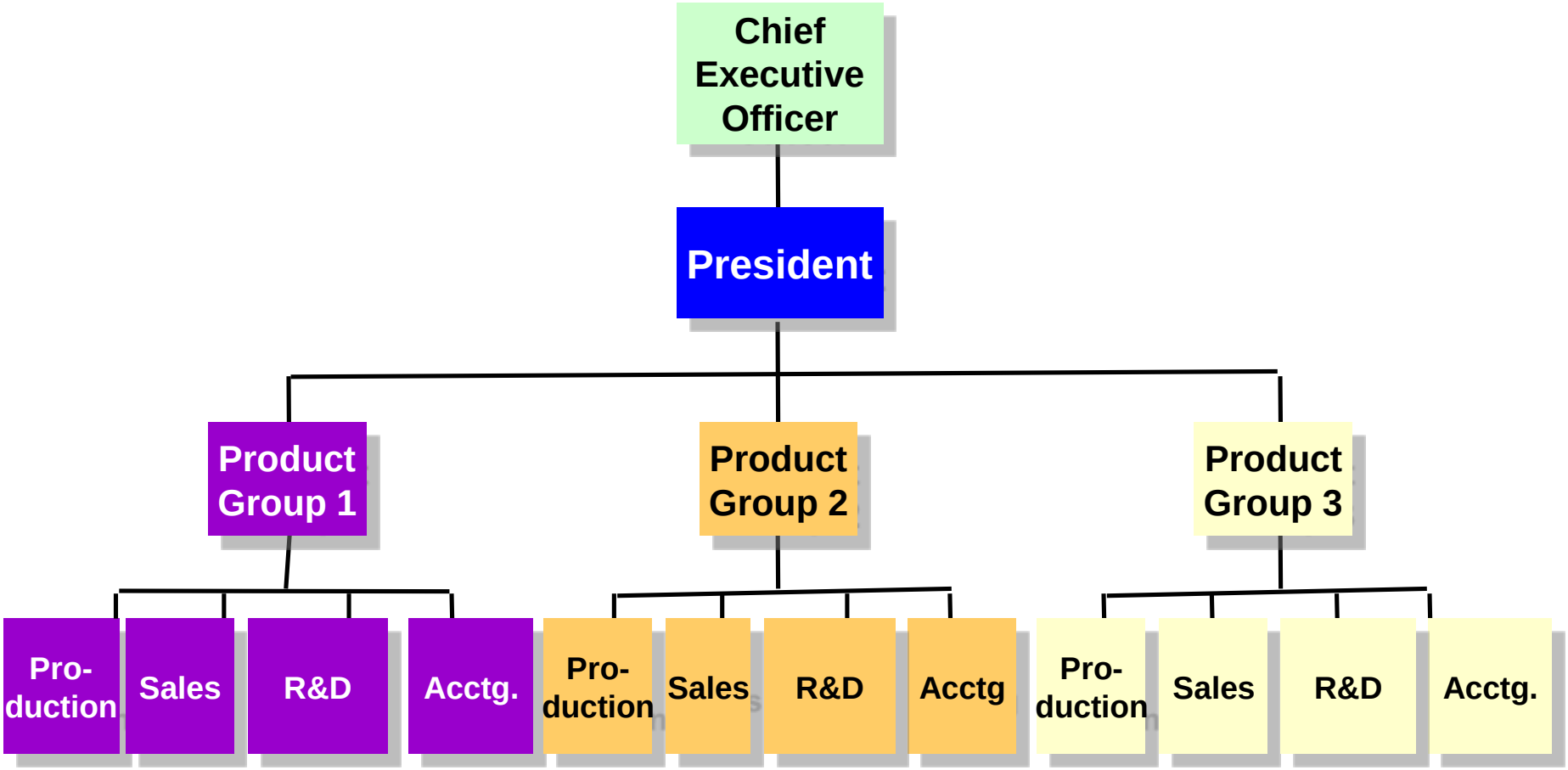
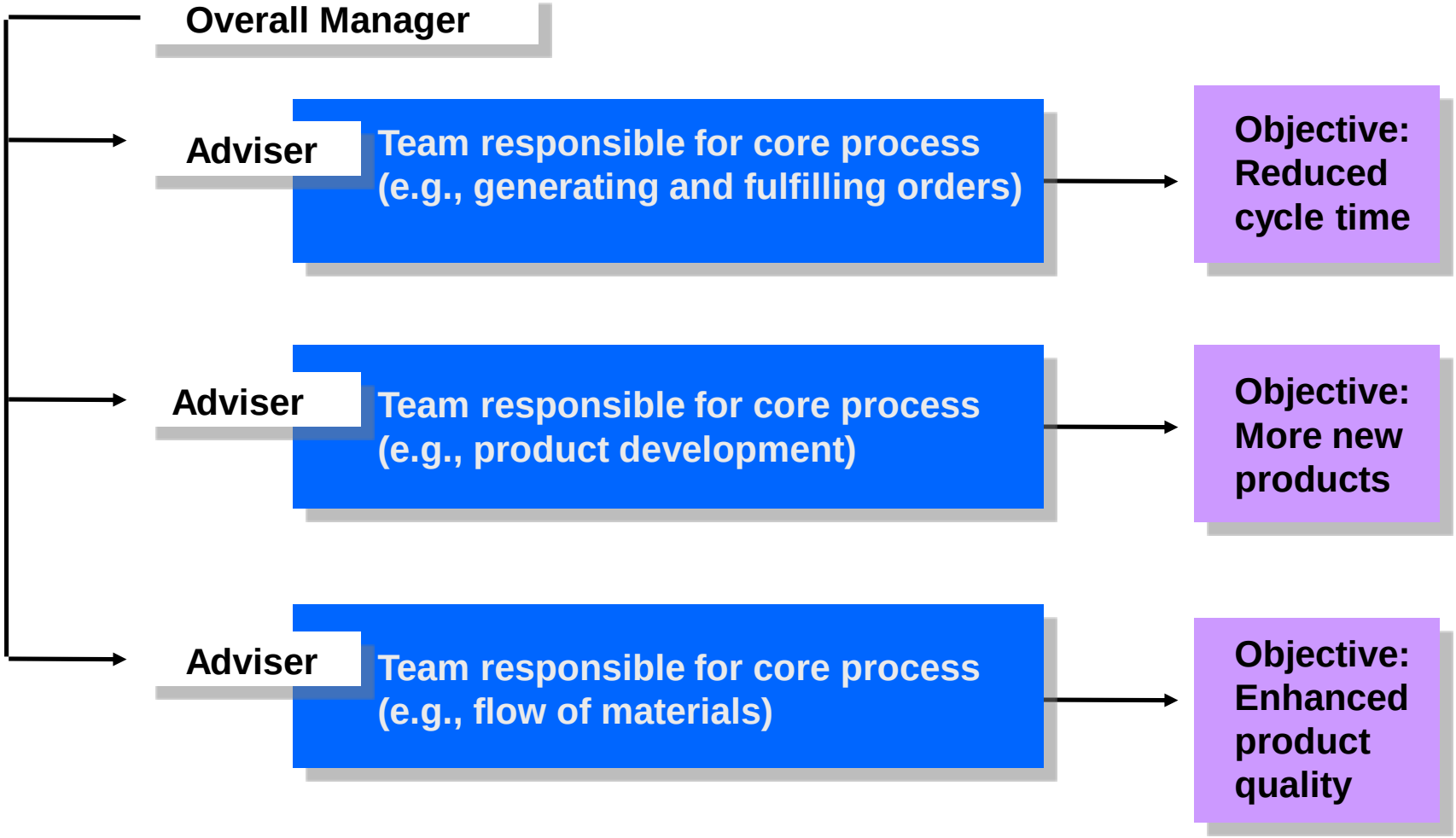
A Product Organization




Overall Manager
Adviser
Team responsible for core process (e.g., generating and fulfilling orders)
Objective: Reduced cycle time
Adviser
Team responsible for core process (e.g., product development)
Objective: More new products
Adviser
Team responsible for core process (e.g., flow of materials)
Objective: Enhanced product quality

Common Organization Designs

bureaucracy

A structure with highly routine operating tasks achieved through specialization, very formalized rules and regulations, tasks that are grouped into functional departments, centralized authority, narrow spans of control, and decision making that follows the chain of command.

A **bureaucratic organizational structure** is a hierarchical system of organization designed to ensure efficiency and effectiveness in large institutions.

It is characterized by formalized rules, clear authority, and a structured chain of command.

This type of structure was prominently theorized by Max Weber, who described it as an ideal model for large, complex organizations.

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The Bureaucracy

- **Strengths**
  - Functional economies of scale
  - Minimum duplication of personnel and equipment
  - Enhanced communication
  - Centralized decision making
- **Weaknesses**
  - Subunit conflicts with organizational goals
  - Obsessive concern with rules and regulations
  - Lack of employee discretion to deal with problems

Low Decentralization (High Centralization)	*High Decentralization (Low Centralization)*
Eliminates the additional responsibility not desired by people performing routine jobs	**Can eliminate levels of management, making a leaner organization**
Permits crucial decisions to be made by individuals who have the "big picture"	**Promotes greater opportunities for decisions to be made be people closest to problems**

Table 12-1

Matrix Structure

- The **matrix organizational structure** is a type of management framework where employees report to more than one supervisor or leader, typically blending functional and project-based structures.
- It creates a grid-like structure, facilitating the sharing of information and resources across different departments while focusing on specific projects or objectives.

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Matrix Structure

Key features:

1. Dual Authority System:

•Employees report to both functional managers (e.g., heads of departments like marketing or finance) and project managers overseeing specific projects.

2. **Functional Specialization**:

•Departments are organized based on specialized functions (e.g., HR, R&D), ensuring expertise and efficiency in those areas.

3. **Project Orientation**:

•Employees from various functional areas are pooled together for specific projects, fostering collaboration.

4. **Dynamic Teams**:

•Teams are temporary and are dissolved once a project is completed. Employees return to their functional roles or join new projects.

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Matrix Structure

Example of Matrix Structure:
Imagine a tech company:
•The functional manager of software development oversees all engineers in the department.
•Simultaneously, a project manager is responsible for leading the development of a new mobile app.
•Engineers report to both their functional manager (for skill development and general work policies) and the project manager (for project-specific goals).

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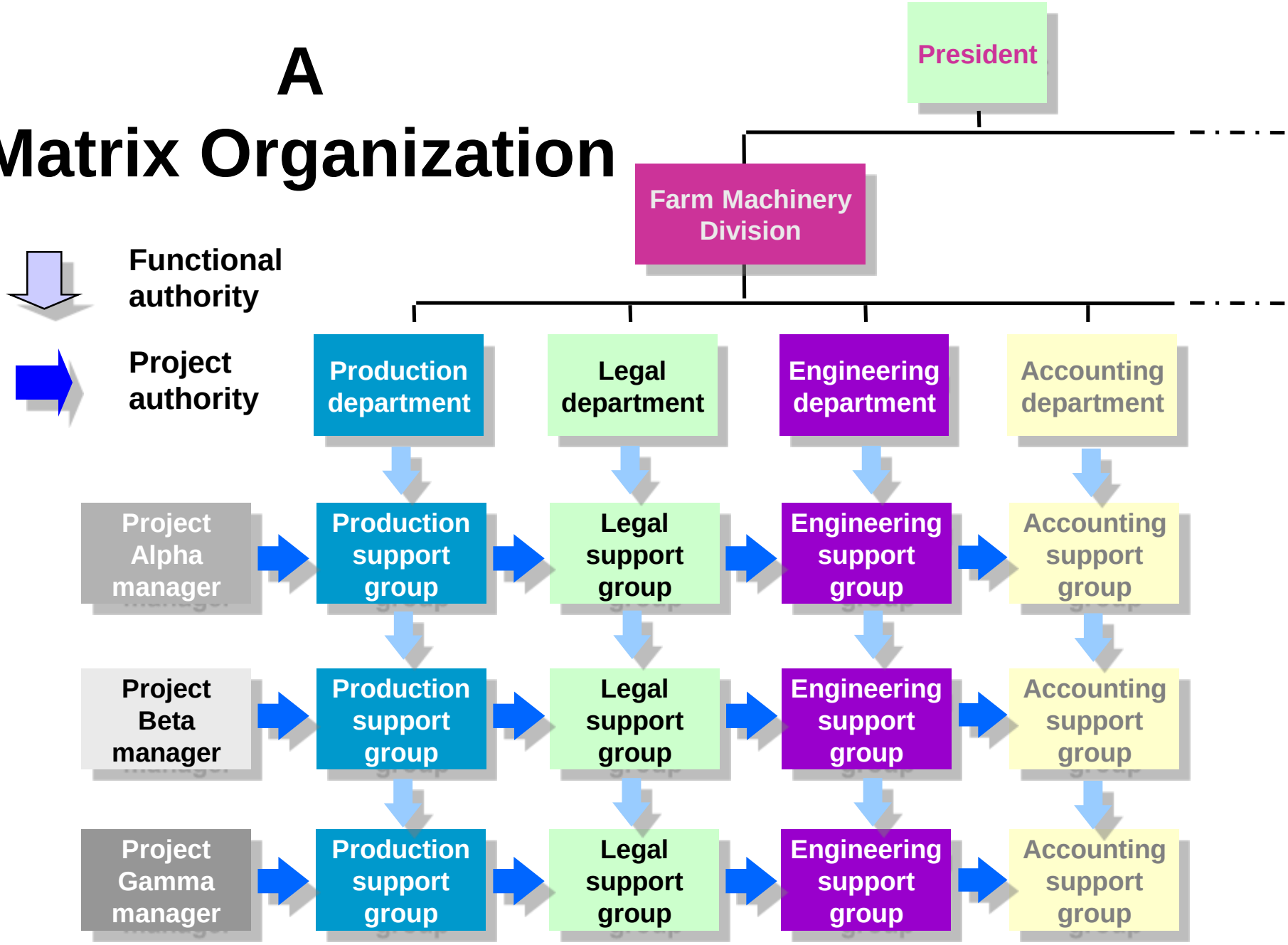
The Matrix Structure

Cross-Functional Coordination	Clear Accountability
Dual Chain of Command	Allocation of Specialists

Matrix Structure (College of Business Administration)

Programs / Academic departments	Undergraduate	Master's	Ph.D.	Research	Executive development	Community service **(Director)**
Accounting						
Administrative studies						
Finance **(Dean)**						**Employee**
Information and decision sciences						
Marketing						
Organizational behavior						
Quantitative methods						

A Matrix Organization



- **Mechanistic and organic structures** represent two opposite ends of the spectrum in organizational design.
- These structures differ based on the degree of hierarchy, formalization, flexibility, and adaptability within an organization.

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1. Mechanistic Structure

A mechanistic structure is highly hierarchical, rigid, and formalized, designed to achieve efficiency, predictability, and control. It is suited for stable environments where tasks and roles are clearly defined.

Key Characteristics:

- **Centralization**:
  - Decision-making authority is concentrated at the top levels of management.
- **Formalization**:
  - Strict rules, policies, and procedures govern the organization.
- **Specialization**:
  - Tasks are divided into specialized roles with little overlap.
- **Hierarchy**:
  - Clear, well-defined lines of authority and communication.
- **Rigid Communication**:
  - Information flows vertically through the chain of command.

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2. Organic Structure

An organic structure is more flexible, decentralized, and adaptive, designed to foster collaboration, innovation, and responsiveness to change. It is suited for dynamic and uncertain environments.

Key Characteristics:

- **Decentralization**:
  - Decision-making authority is distributed across various levels.
- **Flexibility**:
  - Roles and responsibilities are less rigid and may change as needed.
- **Low Specialization**:
  - Employees often perform multiple roles, and collaboration is encouraged.
- **Informal Communication**:
  - Information flows freely in all directions, often laterally.
- **Focus on Innovation**:
  - Encourages creativity and problem-solving.

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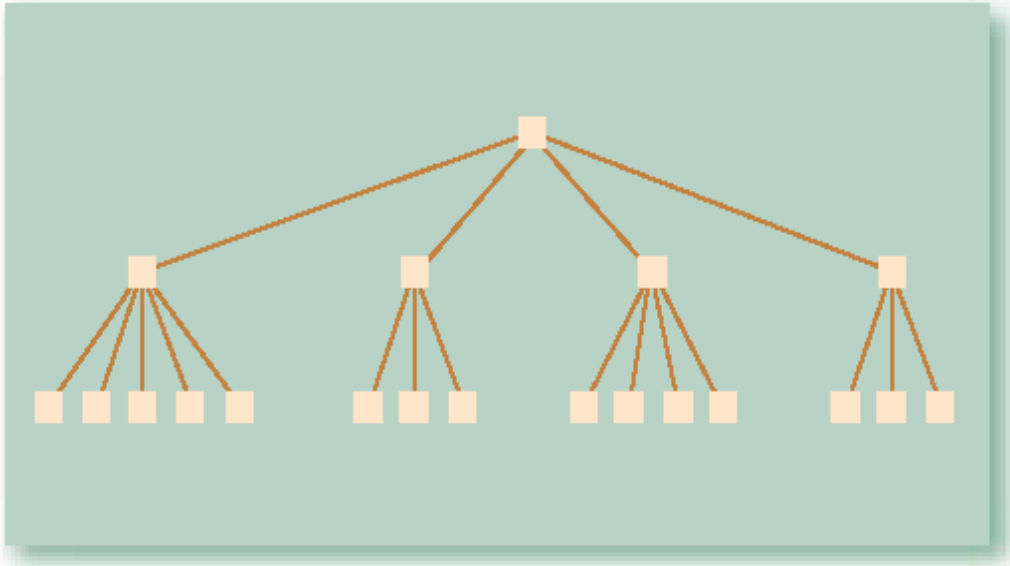
	Structure	
Dimension	***Mechanistic***	***Organic***
Stability	**Change unlikely**	**Change likely**
Specialization	**Many specialists**	**Many generalists**
Formal rules	**Rigid rules**	**Considerable flexibility**
Authority	**Centralized in a few top people**	**Decentralized, diffused throughout the organization**

Table 12-2

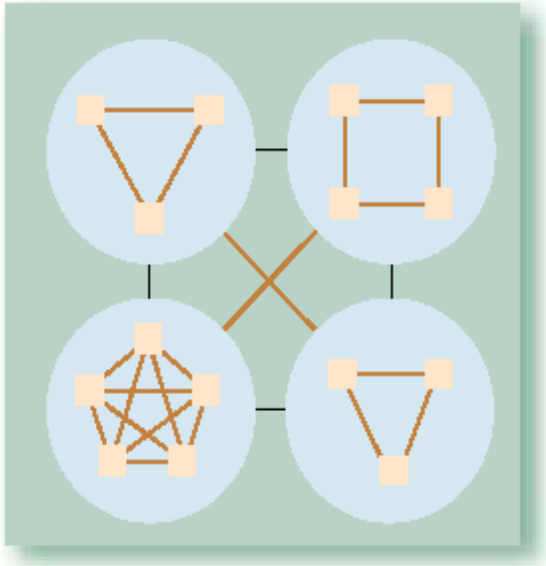
Mechanistic Versus Organic Models

The mechanistic model



- High specialization
- Rigid departmentalization
- Clear chain of command
- Narrow spans of control
- Centralization
- High formalization

The organic model



- Cross-functional teams
- Cross-hierarchical teams
- Free flow of information
- Wide spans of control
- Decentralization
- Low formalization

Virtual Organization

A **virtual organization design** is a modern organizational structure that operates primarily through digital communication and technology, minimizing the need for a physical office or traditional hierarchical setup. It leverages collaboration across geographic boundaries by integrating individuals, teams, or even organizations to achieve shared goals.

Virtual Organization

•**Geographic Dispersion**:
Team members or units are often distributed across multiple locations, working remotely.
•**Technology-Driven Communication**:
Reliance on digital tools like email, video conferencing, project management software, and cloud platforms
for coordination and communication.
•**Flexibility and Adaptability**:
Teams and resources can be dynamically reconfigured based on project needs.
•**Boundaryless Operations**:
Collaboration occurs without the constraints of traditional boundaries (e.g., departments, time zones, or physical offices).
•**Core Focus and Outsourcing**:
Core functions may be retained in-house, while non-core activities are outsourced to external entities or individuals.
•**Decentralized Decision-Making**:
Decision-making authority is distributed, empowering team members to make agile and responsive choices.

New Design Options

virtual organization

A small, core organization that outsources major business functions.

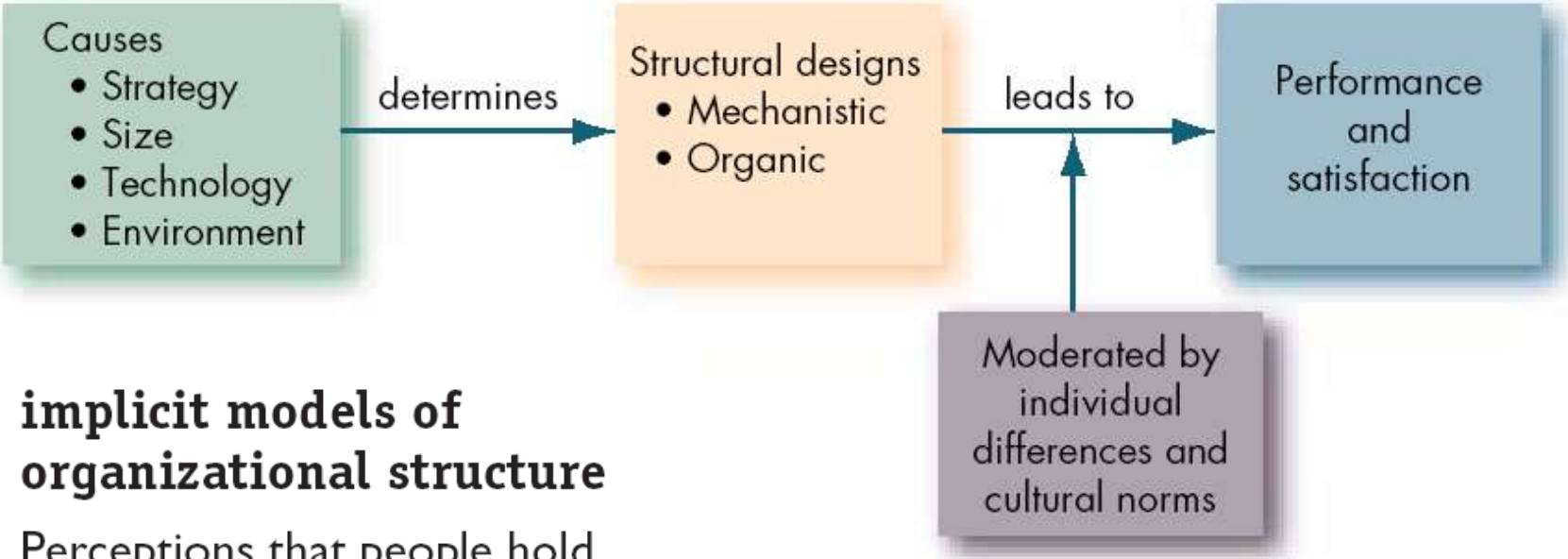
Concepts:

Provides maximum flexibility while concentrating on what the organization does best.

Disadvantage is reduced control over key parts of the business.

A Virtual Organization

Organization Structure: Its Determinants and Outcomes



implicit models of organizational structure

Perceptions that people hold regarding structural variables formed by observing things around them in an unscientific fashion.

What Is Organizational Structure? (cont'd)

work specialization

The degree to which tasks in the organization are subdivided into separate jobs.

- A **human diseconomy** refers to a situation where excessive specialization, work pressure, or rigid organizational structures lead to reduced efficiency, satisfaction, and well-being of employees.
- It contrasts with the idea of economies of scale or efficiency gains, emphasizing the unintended negative outcomes for individuals in a work environment.

Division of labor:

- **Makes efficient use of employee skills**
- **Increases employee skills through repetition**
- **Less between-job downtime increases productivity**
- **Specialized training is more efficient**
- **Allows use of specialized equipment**

Economies and Diseconomies of Work Specialization

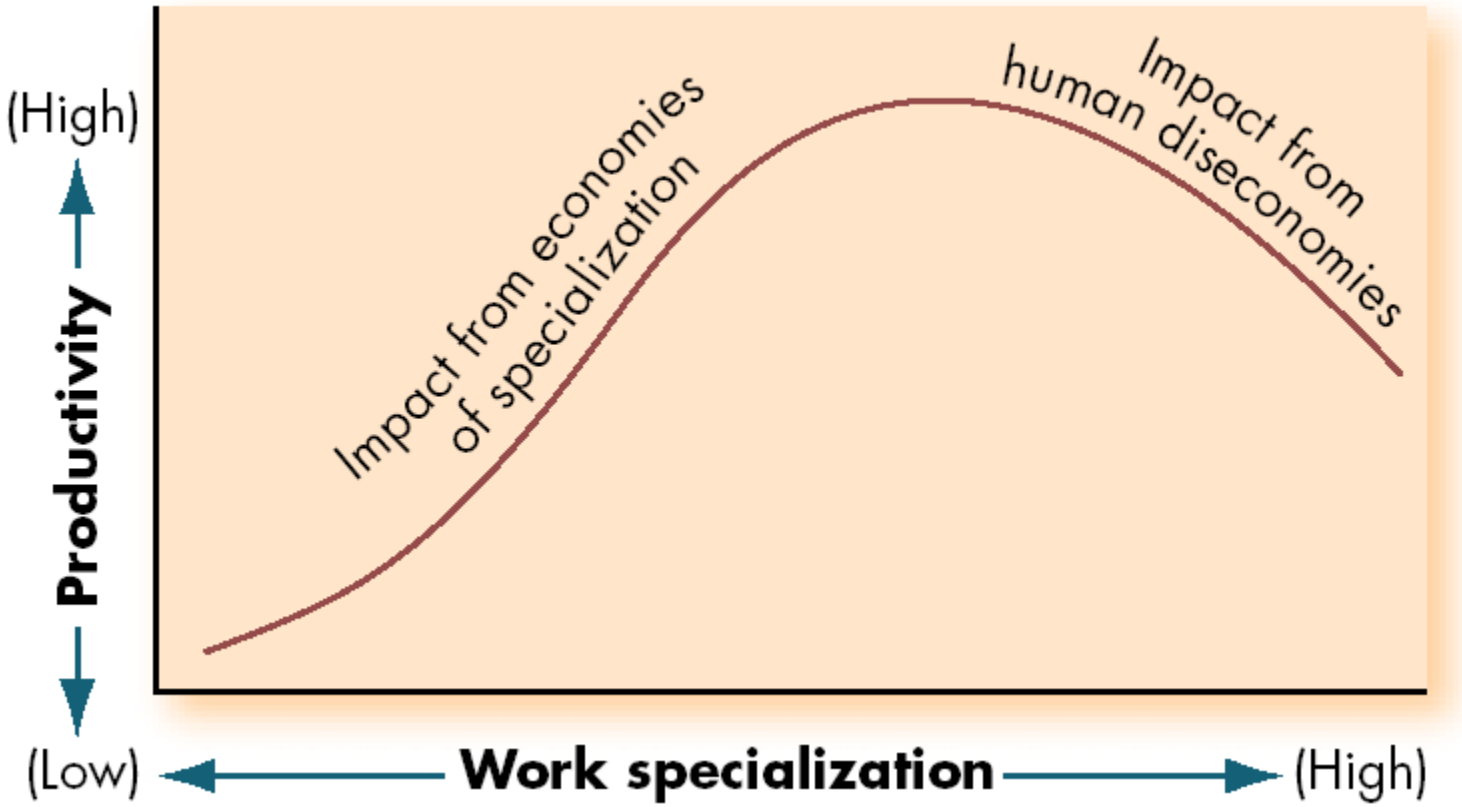


EXHIBIT 15-2

What Is Organizational Structure? (cont'd)

departmentalization

The basis by which jobs are grouped together.

Grouping Activities By:

- **Function**
- **Product**
- **Geography**
- **Process**
- **Customer**

What Is Organizational Structure? (cont'd)

span of control

The number of subordinates a manager can efficiently and effectively direct.

Concept:

Wider spans of management increase organizational efficiency.

Narrow Span Drawbacks:

- **Expense of additional layers of management.**
- **Increased complexity of vertical communication.**
- **Encouragement of overly tight supervision and discouragement of employee autonomy.**

Contrasting Spans of Control

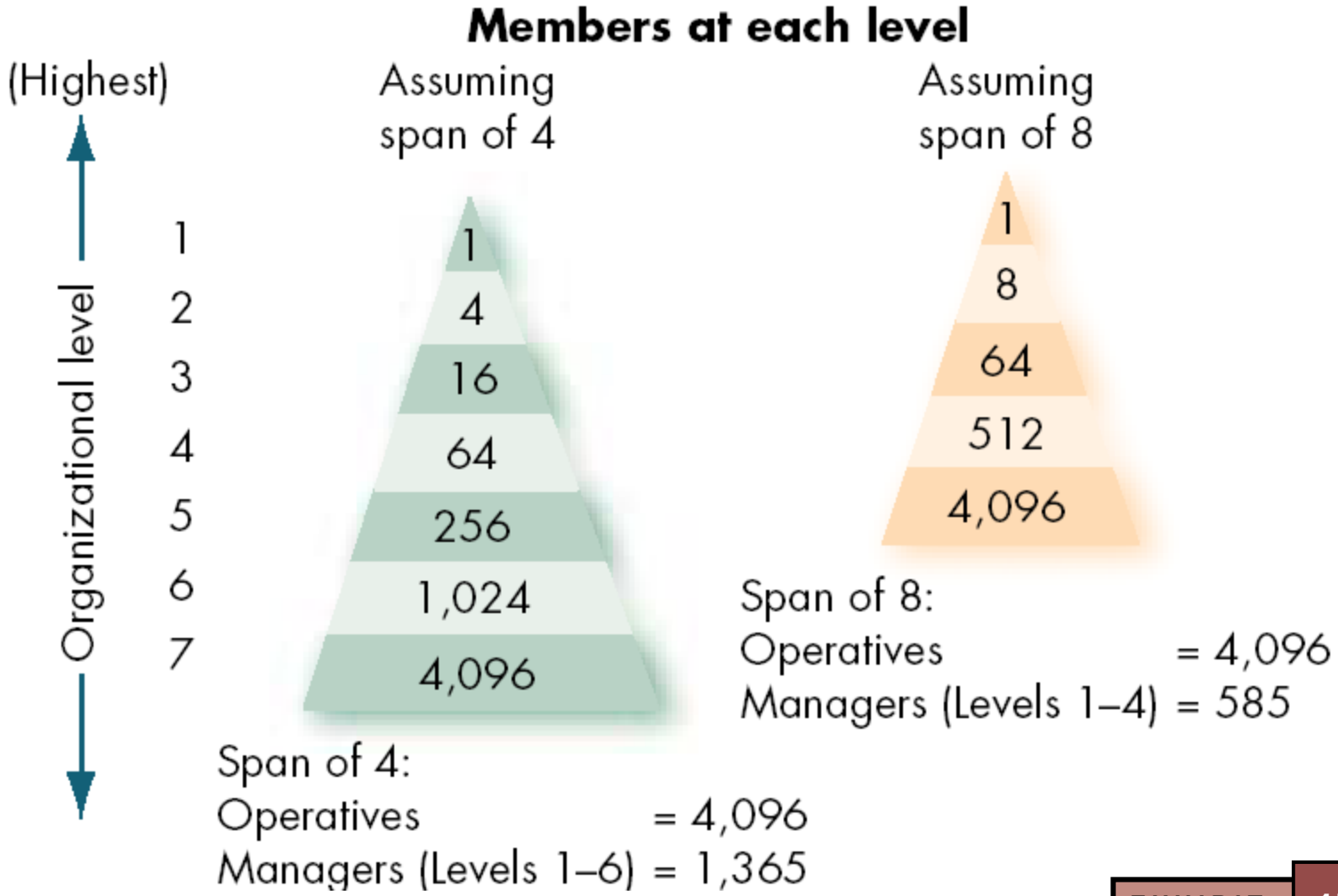


EXHIBIT 15-3

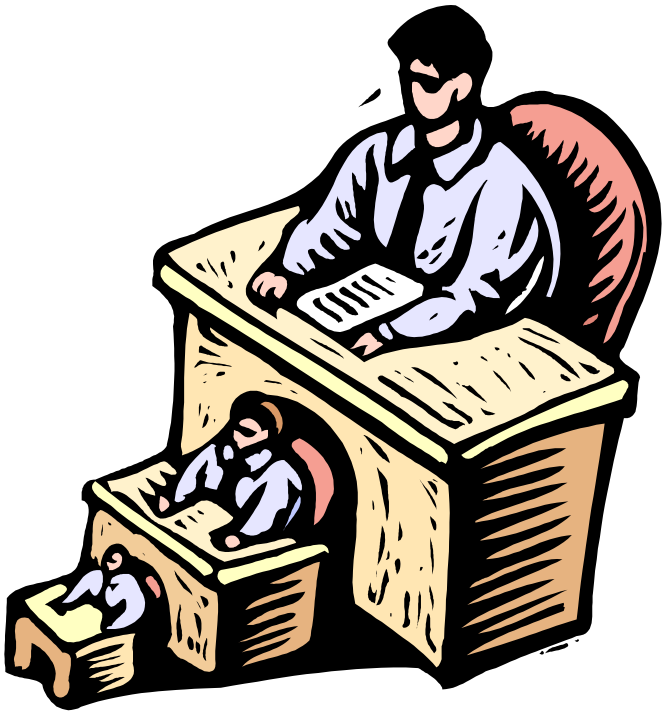
What Is Organizational Structure? (cont'd)

centralization

The degree to which decision making is concentrated at a single point in the organization.

formalization

The degree to which jobs within the organization are standardized.



Common Organization Designs (cont'd)

matrix structure

A structure that creates dual lines of authority and combines functional and product departmentalization.

Key Elements:

+ **Gains advantages of functional and product departmentalization while avoiding their weaknesses.**
+ **Facilitates coordination of complex and interdependent activities.**
– **Breaks down unity-of-command concept.**

New Design Options

team structure

The use of teams as the central device to coordinate work activities.

Characteristics:

- **Breaks down departmental barriers.**
- **Decentralizes decision making to the team level.**
- **Requires employees to be generalists as well as specialists.**
- **Creates a "flexible bureaucracy."**

New Design Options (cont'd)

boundaryless organization

An organization that seeks to eliminate the chain of command, have limitless spans of control, and replace departments with empowered teams.

T-form Concepts:

Eliminate vertical (hierarchical) and horizontal (departmental) internal boundaries.

Breakdown external barriers to customers and suppliers.

Why Do Structures Differ?

mechanistic model

A structure characterized by extensive departmentalization, high formalization, a limited information network, and centralization.

Why Do Structures Differ?

organic model

A structure that is flat, uses cross-hierarchical and cross-functional teams, has low formalization, possesses a comprehensive information network, and relies on participative decision making.

Why Do Structures Differ? – Strategy

innovation strategy

A strategy that emphasizes the introduction of major new products and services.

cost-minimization strategy

A strategy that emphasizes tight cost controls, avoidance of unnecessary innovation or marketing expenses, and price cutting.

imitation strategy

A strategy that seeks to move into new products or new markets only after their viability has already been proven.

The Strategy-Structure Relationship

Strategy	Structural Option
Innovation	**Organic**: A loose structure; low specialization, low formalization, decentralized
Cost minimization	**Mechanistic**: Tight control; extensive work specialization, high formalization, high centralization
Imitation	**Mechanistic and organic**: Mix of loose with tight properties; tight controls over current activities and looser controls for new undertakings

EXHIBIT 15-9

Why Do Structures Differ? – Technology

technology

How an organization transfers its inputs into outputs.

Characteristics of routineness (standardized or customized) in activities:

- **Routine technologies are associated with tall, departmentalized structures and formalization in organizations.**
- **Routine technologies lead to centralization when formalization is low.**
- **Nonroutine technologies are associated with delegated decision authority.**

Why Do Structures Differ? – Environment

environment

Institutions or forces outside the organization that potentially affect the organization's performance.

Key Dimensions:

- **Capacity: the degree to which an environment can support growth.**
- **Volatility: the degree of instability in the environment.**
- **Complexity: the degree of heterogeneity and concentration among environmental elements.**

What Is Organizational Structure? (cont'd)

chain of command

The unbroken line of authority that extends from the top of the organization to the lowest echelon and clarifies who reports to whom.

authority

The rights inherent in a managerial position to give orders and to expect the orders to be obeyed.

unity of command

A subordinate should have only one superior to whom he or she is directly responsible.

The Three Dimensional Model of the Environment

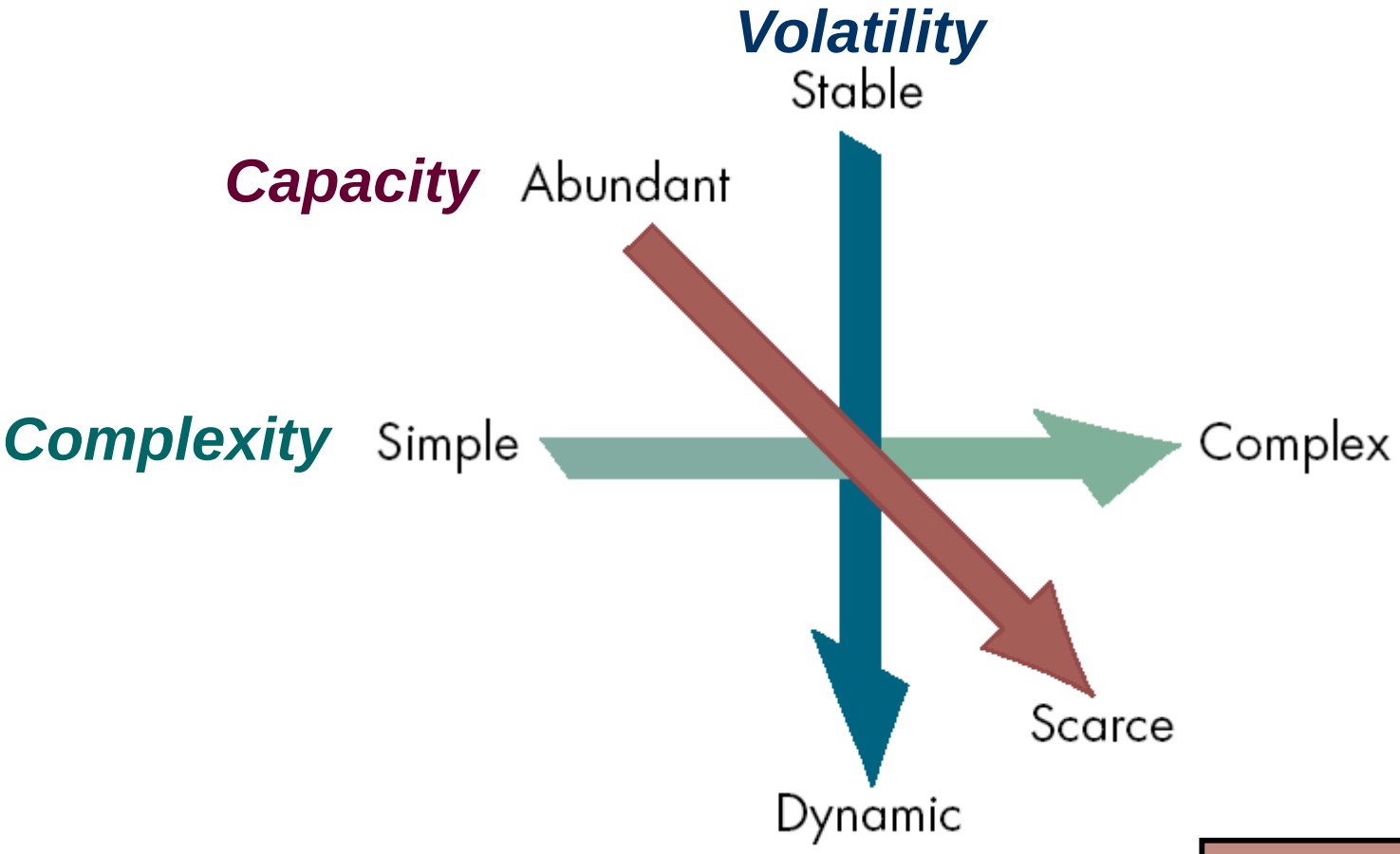


EXHIBIT 15-10

Organizational Designs and Employee Behavior

Research Findings:

- **Work specialization contributes to higher employee productivity, but it reduces job satisfaction.**
- **The benefits of specialization have decreased rapidly as employees seek more intrinsically rewarding jobs.**
- **The effect of span of control on employee performance is contingent upon individual differences and abilities, task structures, and other organizational factors.**
- **Participative decision making in decentralized organizations is positively related to job satisfaction.**